Massey University
Investment Club

GLOBAL MACRO REPORT

October 2026 | Khant Min Zin, Treasurer | Massey University Investment Club

AI holds the market up. Bonds could pull it down.

Three things are driving markets right now: AI, bond yields and geopolitics. At first they look like separate stories, but they are closely connected. AI companies and governments are borrowing huge amounts, and the Iran war is keeping oil prices and inflation high. All of it meets in the bond market, which affects how much it costs everyone to keep spending.

This report covers

- AI: real, but concentrated
- Bond yields: too much debt, uncertain buyers
- Geopolitics: uncertain

Key views

	Last 3 months	Next 3 months	Why
AI stocks	↑	→	Strong demand, but concentrated
US 10-year yield	↑	↑	Heavy borrowing, fewer sure buyers
Oil price	↑	↕	Depends on what follows the midterms
S&P 500	↑	→	AI supports it, yields weigh on it
Fed rate	↑	↑	Most Fed officials expect another hike

Key dates to watch

Date	Event
21 Oct 26	NZ CPI, September quarter
28 Oct 26	RBNZ OCR review
28 Oct 26	FOMC meeting (29 Oct NZT)
3 Nov 26	US midterm elections
8 Nov 26	NZ general election
10 Jan 27	US-China trade truce ends

PREFACE

Some people say we're back in the 1930s. Others say it's 2000s. Some swear it's the 1970s all over again.

Actually, 2026 is different. People behave differently, markets are more connected than ever, and people are more financially educated. History can give us clues, but I'll try not to force the past onto the present.

Despite all the noise, the economy has stayed resilient. Growth is holding up, company earnings are strong, and markets keep moving higher. So let's stay in the present and look at the big picture.

In this report, I focus on three drivers: AI, bond yields and geopolitics. The more I looked into them, the more I realised they're all connected.

"History doesn't repeat, but it often rhymes."

Often attributed to Mark Twain

How to read this report

I lay out the facts and data first, then share my own view at the end. I'm just a student like you. This is not financial advice. Feel free to fact-check and challenge anything here.

AI: Real, But Concentrated

The boom is real

Nvidia's latest 10-Q shows revenue up about 106% from a year ago, to US$96.2 billion for the quarter. For the world's largest company, that kind of growth is almost unheard of, so I think AI demand is clearly real.

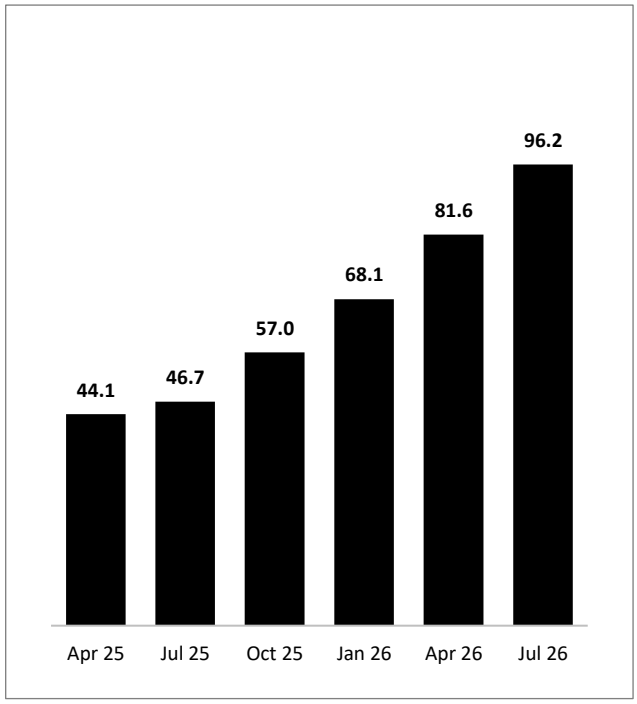
But there's a flag in Note 7 of the same filing. Just five customers make up 70% of the account receivables (22%, 14%, 13%, 11% and 10%). Nvidia doesn't name them, but they are likely the big cloud companies. Its receivables, sales made but not yet paid for, also grew from US$38.5 billion in January to US$63.1 billion in July.

Following the money

If we follow the money further, it leads to the same place. About two-thirds of Microsoft's AI revenue, around US$24 billion last financial year, is tied to OpenAI. Analysts think other cloud companies may depend on OpenAI and Anthropic in a similar way. So in the end, much of the AI chain flows to just two companies. If either of them struggles, the whole chain feels it.

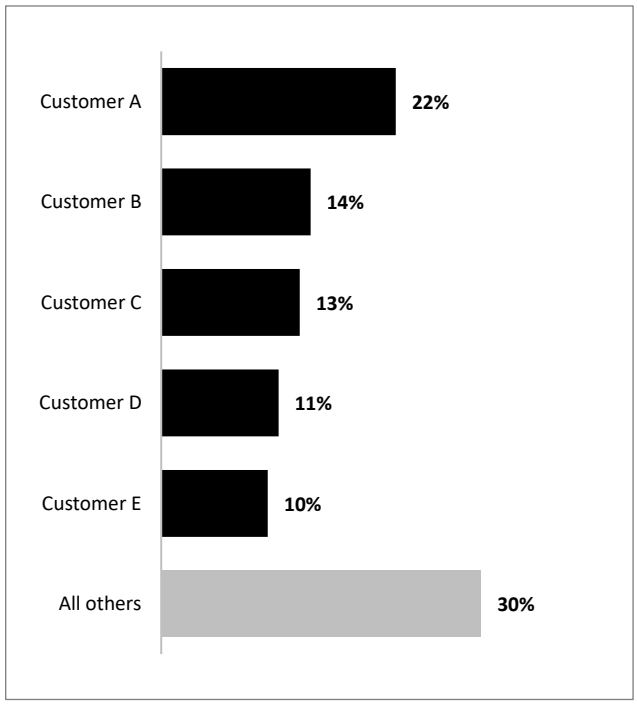
Nvidia's revenue has more than doubled in a year

Quarterly revenue, US$ billion



Source: Nvidia quarterly results, August 2026.

Five customers owe 70% of Nvidia's receivables



Source: Nvidia 10-Q, Note 7, July 2026.

AI: The Market Is One Trade

One headline, one big reaction

On October 8, the FT reported that OpenAI's annualised revenue was close to US$50 billion, not the US$68 to 70 billion many had assumed. It later turned out the gap was mostly about how revenue was counted (net vs gross), not a real drop in sales. OpenAI's revenue still grew 77% in the quarter.

But the market didn't wait to find out. The Nasdaq 100 dropped 300 points in thirty minutes, and Oracle, Nvidia and CoreWeave fell between about 3% and 8%. Meanwhile, the equal-weight S&P 500 actually rose 0.6% that day. The average company was fine. Only the AI names fell. For me, that's the real lesson. AI demand still looks strong, but so much of the market is priced on a few companies that even a reporting difference can shake it.

One report, one big drop

Share price change on 8 October 2026, after the FT report on OpenAI's revenue

Company / index	Change
CoreWeave	−7.8%
Oracle	−5.5%
Intel	−5.3%
AMD	−3.9%
Nvidia	−2.9%
Microsoft	−1.4%

Sources: CNN, Forkast News, Investing.com, Seeking Alpha 8 October 2026.

The S&P 500 is mostly AI

Nvidia alone is nearly 8% of the S&P 500, bigger than six whole sectors, including industrials, energy and utilities. The tech sector is about 38% of the index, higher than its dot-com peak of around 33%. Add Alphabet and Amazon, plus the utilities powering data centres and the companies building them, and some estimates put the AI-linked share above 65%. The only sectors with little AI exposure, consumer staples and healthcare, add up to just 14%.

You can see this in the returns. Energy was the best sector this year, up 40.28% to the end of September, thanks to the Iran war. But energy is only 3.4% of the index, so it added just 1.4 percentage points to the S&P 500's 12.75% return. Tech, up 28.38% with a weight of about 38%, did most of the work.

So buying 'the whole market' no longer gives the diversification it used to. If AI stumbles, most of the index stumbles with it.

S&P 500 by sector

Sector	Weight	YTD (to 30 Sep)
Information Technology	38.4%	+28.38%
Financials	11.6%	-1.30%
Communication Services	10.4%	+4.48%
Consumer Discretionary	9.5%	-5.82%
Health Care	9.0%	+10.15%
Industrials	7.7%	+8.54%
Consumer Staples	5.0%	+5.98%
Energy	3.4%	+40.28%
Utilities	1.9%	-5.65%
Real Estate	1.6%	+5.31%
Materials	1.6%	+8.82%
S&P 500	**100%**	**+12.75%**

Sources: US500.com, Novel Investor

Bond Yields: Too Much Debt

The simplest way to think about bond yields is supply and demand. When a lot of debt is looking for buyers, borrowers have to offer higher yields. Right now, supply is rising fast, while demand is getting less predictable.

Supply side

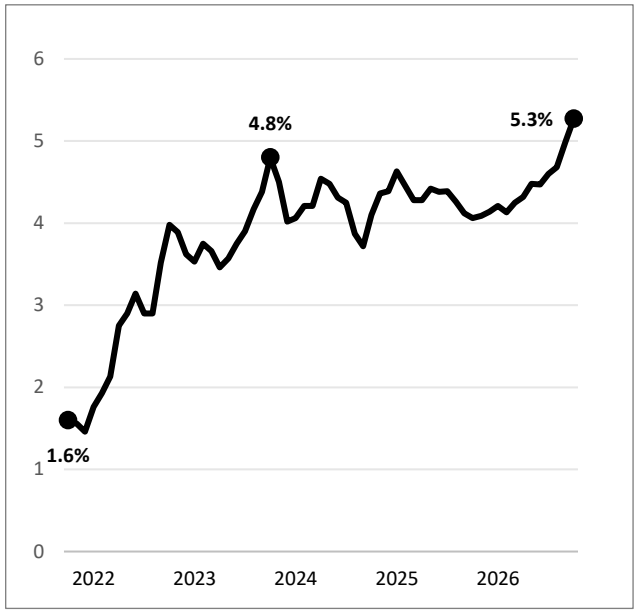
AI borrowing. Goldman Sachs estimates nearly US$500 billion of AI-related debt was issued in 2026 by early August, and Morgan Stanley expects close to US$570 billion for the full year. This debt is starting to compete with other bonds, including Treasuries, for the same investors, and credit spreads on big tech bonds have begun to widen.

The maturity wall. Around US$9.7 trillion of US government debt needs to be refinanced in 2026. With rates higher than a few years ago, rolling it over keeps the interest bill high.

The budget deficit. On top of that, the US is expected to run a deficit of about US$1.9 trillion this year, which is new borrowing just to cover the gap between spending and revenue.

Put together, a huge amount of debt is chasing the same pool of money. That pushes yields up.

The 10-year yield



Source: Federal Reserve Bank of St. Louis (FRED), series DGS10, to 8 October 2026.

The debt pile

Item	Amount
AI-related debt issued in 2026	~US$500bn (to Aug)
US debt to refinance in 2026	~US$9.7tn
US budget deficit 2026	~US$1.9tn
Interest cost per year	~US$1tn

Sources: Goldman Sachs, Osaic Research, CBO, 2026.

Bond Yields: Who Will Buy It?

Demand side

More than half of US government debt is held by domestic investors. But they aren't one group. The Fed, banks, pension funds, money market funds and households all buy for different reasons, so demand can shift quickly when rules or rates change.

The biggest single holder is the Fed. The new Fed chair, Kevin Warsh, has long wanted a smaller Fed balance sheet. If the Fed buys fewer Treasuries, private investors must absorb more, which could push yields higher.

Foreign demand is less certain too. Japan, the largest foreign holder, has its own currency problem. In July, the US helped Japan support the yen, partly so it wouldn't need to sell US Treasuries. China now holds about half of what it did at its 2013 to 2014 peak.

What about inflation?

US inflation was 3.4% in August, and households expect it to stay high: 4.7% over the next year, up from 3.4% before the Iran war. But bond investors expect only about 2.35% a year over the next decade.

That tells us something. Of the 10-year yield of about 5.2%, only around 2.35% is for expected inflation. The rest is the real return investors want. To me, that suggests yields are high mostly because of tighter Fed policy, heavy borrowing and less certain buyers, rather than fear of long-term inflation. The risk is if bond investors start to agree with households.

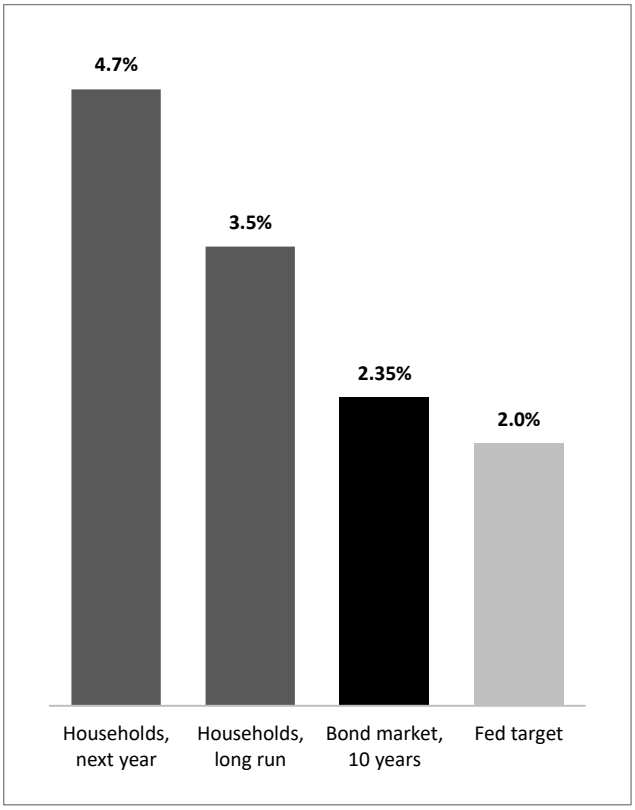
Largest foreign holders of US Treasuries

Rank	Country	US$ billion
1	Japan	1,117
2	United Kingdom	940
3	China	633
4	Belgium	483
5	Canada	460

Source: US Treasury TIC data via Visual Capitalist, June 2026.

Households and markets see inflation differently

Expected inflation, %



Sources: University of Michigan, FRED, October 2026.

Geopolitics: The Wild Card

The Iran war and energy prices

The war started in late February, and a ceasefire collapsed in July. The US has blockaded Iran's ports since July 14. Oil is still above US$100 a barrel, and US diesel is around US$6.28 a gallon, up from US$3.68 a year ago. This keeps inflation up, and is one reason the Fed raised rates.

The conflict is spreading

Iran-backed Houthi rebels in Yemen are now fighting Saudi-backed forces. A strike on Riyadh's main airport on October 10 killed 12 people, the deadliest attack in Saudi Arabia since 2015. The fighting is near the Bab el-Mandeb Strait, another key oil route.

The US midterms matter

Trump says the US won't attack Iran before the November 3 election, but has suggested he could step up bombing afterwards. A third aircraft carrier and thousands more Marines are joining around 50,000 US troops in the region. Some see this as pressure for a deal, others as preparation for more conflict.

After the midterms: three paths

Path	Likely effect on oil
A deal	Oil likely falls
More air strikes	Oil likely rises
Limited ground operations	Biggest risk for oil

US-China: the longer story

In September, the US and China extended their trade truce by only two months, to January 10, 2027. China controls most of the world's rare earths, which are needed for AI chips. That's why the US is looking for other sources. In October, it opened direct talks with Myanmar's military government, a major supplier of heavy rare earths. Access won't be easy, as the mines are in rebel-held areas and the ore flows to China for processing.

As of 11 October 2026

My Take

As long as AI works out, the market will probably be fine. The bigger threat is the bond market.

So much of the S&P 500 is tied to AI that the index is mostly one trade. If AI keeps delivering, that concentration works in our favour.

But the 10-year yield rose from about 4.5% to around 5.25% in one quarter, a very big move in a short time. The reasons connect everything in this report: AI borrowing, government debt, and oil prices that pushed the Fed to raise rates.

Higher rates make government debt more expensive, hurt housing, raise borrowing costs for companies, including AI companies, and squeeze consumers. If yields keep climbing, I think we could see a slowdown, a correction, or even a recession. Where the breaking point is, nobody knows.

The US still has time. The dollar is the world's reserve currency, and the global financial system runs on Treasuries. The debt problem is more likely to show up as a slow, ongoing cost through higher rates than a sudden crisis.

A crisis would probably need a big trigger: an AI disappointment, a sharp escalation in the Middle East, or a failed bond auction. Which one? Honestly, who knows. That's why it's worth watching.

What I'll be watching

Signal	Why it matters
US 10-year yield	If it keeps rising, the pressure grows
AI revenue	So much depends on OpenAI and Anthropic
Oil after 3 November	Deal or escalation
Mortgage rates	An early sign rates are starting to bite

Signs of stress

US 30-year mortgage rates have climbed to around 7.4% to 7.5%, the highest since November 2023. Consumer sentiment is near record lows, and households expect inflation to stay high.

Thank You

This is my last report for MUIC. Thank you for reading, for all the discussions, and for making the club what it is. I hope this gave you a useful way to look at the big picture. Keep questioning everything, including this report.

Khant, October 2026







Disclaimer

This report was written by a student for the Massey University Investment Club. It reflects personal views only and is not financial advice. Figures come from the sources listed and may change. Please check the sources and do your own research before making any decision.